

Dominant bucket can rotate: Tech Growth Inflation Fiscal Credit External FX Policy Global

1 TECH CYCLE / SEMICONDUCTORS

Tech Growth

- Track
- AI demand: export orders ICT +89.7% y/y (Apr), 15 straight months of growth
  - TSMC monthly revenue as the highest-frequency cycle read
  - WSTS/SIA global semis cycle; inventory digestion risk
  - Capacity: advanced-node capex, overseas fab diversion

2 EXPORTS / EXTERNAL DEMAND

External Tech

- Track
- Customs exports: record runs on HPC/AI; US share rising vs China
  - US tariff policy: semiconductor tariff postponements, Section 232 risk
  - Traditional industries lag - overcapacity competition from China
  - Export orders-to-exports mapping; overseas production ratio

3 DOMESTIC DEMAND

Growth

- Track
- Retail and food-service sales lag the export boom
  - Consumer sentiment soft: tariff uncertainty, housing curbs
  - Investment: AI capex vs non-tech weakness
  - Outbound vs inbound tourism imbalance

4 INFLATION

Inflation

- Track
- May CPI 2.2% y/y - above the CBC's 2% comfort level (energy + underlying)
  - Core momentum building (BofA); food-away-from-home, rents sticky
  - Electricity tariff resets: Taipower losses force step-changes
  - Import prices and TWD pass-through

5 CBC POLICY

Policy

- Track
- June hike now expected (Barclays, Nomura post-May-CPI)
  - 12.5bp step convention; quarterly board meetings
  - Tools beyond rates: RRR hikes, selective credit controls
  - Governor communication sparse - watch post-meeting pressers

6 TWD / FX DYNAMICS

FX

- Track
- Structural appreciation pressure: exporter conversion, trade surplus
  - FX deposits declining since 2023 - USD selling permissiveness (DB)
  - CBC smoothing both ways; political sensitivity to US Treasury FX report
  - Reserves accumulation; NDF vs onshore spread

7 LIFERS / CAPITAL FLOWS

FX Credit

- Track
- Life insurers' overseas bond books - the structural outflow engine
  - Hedge ratios vs swap-point costs; unhedged exposure risk
  - FX valuation reserve rules; FSC regulatory relief toggles
  - BoP: portfolio outflows vs surging trade surplus

8 BANKING / CREDIT / HOUSING

Credit

- Track
- Mortgage concentration near Article 72-2 ceilings
  - Seventh-round selective credit controls freezing housing turnover
  - House prices plateauing; transaction volumes collapsed
  - SME lending and credit growth ex-property

9 FISCAL / PUBLIC SECTOR

Fiscal

- Track
- Tech-driven revenue windfalls; modest deficits
  - Special budgets: defence, energy subsidies, resilience
  - Taipower losses and recapitalisation - quasi-fiscal energy subsidy
  - Central-local revenue allocation act fight

10 LABOUR / WAGES

Growth

- Track
- Earnings growth modest relative to the tech boom
  - Unemployment low and stable; hiring concentrated in tech/logistics
  - Labour shortage in semis engineering
  - Minimum wage annual resets

11 CROSS-STRAIT / GEOPOLITICS

Global

- Track
- PLA activity and grey-zone pressure cadence
  - US chip export controls, tariffs and 'silicon shield' dynamics
  - Friend-shoring: overseas fab build-out (AZ, Kumamoto, Dresden)
  - Domestic politics: legislature gridlock, recall cycles

12 GLOBAL / ENERGY / WATER

Global

- Track
- ~97% energy import dependence; Hormuz LNG exposure direct
  - Electricity adequacy for fabs: nuclear phase-out reversal debate
  - Drought/water stress - fab water demand vs reservoirs
  - CIER PMI as the global demand read-through

COMMON BLIND SPOTS

1. Headline GDP is AI-distorted - the domestic economy is far weaker than aggregates suggest 2. CBC moves in 12.5bp steps and leans on RRR + selective credit controls, not just the discount rate 3. Lifer FX-hedging flows can dominate TWD more than trade flows do 4. Electricity tariffs are politically set - CPI step-changes, not drift 5. Export orders lead exports but overseas production blurs the mapping to Taiwan GDP

## TAIWAN ECONOMY - BACK-SIDE TABLES

Detailed checklist + public data links for the same 12 clusters - designed for 2-sided A4 prints

**BACK**

Use: start with the dominant bucket, then scan adjacent clusters for second-round effects and hidden offsets. Blue links = public-domain data sources (clickable). A4 landscape - duplex long-edge.

## 1 TECH CYCLE / SEMICONDUCTORS

|                 |                                                                             |
|-----------------|-----------------------------------------------------------------------------|
| <b>Orders</b>   | MOEA export orders by product (ICT, electronics, optical); NTD vs USD basis |
| <b>TSMC</b>     | Monthly revenue; capex guidance; node mix; CoWoS capacity                   |
| <b>Cycle</b>    | WSTS billings; memory vs logic divergence; AI vs consumer electronics       |
| <b>Capacity</b> | Taiwan vs Arizona/Kumamoto allocation; equipment imports                    |

**Data**      [MOEA export orders](#)      [TSMC IR](#)      [WSTS](#)

## 2 EXPORTS / EXTERNAL DEMAND

|                     |                                                                       |
|---------------------|-----------------------------------------------------------------------|
| <b>Customs</b>      | MOF monthly trade; export mix (electronics ~45%); import of equipment |
| <b>Destinations</b> | US vs China+HK shares shifting; ASEAN re-routing                      |
| <b>Tariffs</b>      | US tariff schedule; chip-specific carve-outs; transshipment scrutiny  |
| <b>Traditional</b>  | Plastics, chemicals, metals recovery; China overcapacity pressure     |

**Data**      [MOF Taiwan trade](#)      [DGBAS indicators](#)

### 3 DOMESTIC DEMAND

|                   |                                                               |
|-------------------|---------------------------------------------------------------|
| <b>Retail</b>     | MOEA retail/wholesale/food-service monthly; auto sales        |
| <b>Sentiment</b>  | Consumer confidence; equity wealth effects vs property freeze |
| <b>Investment</b> | DGBAS GFCF tables; construction vs machinery split            |
| <b>Tourism</b>    | Visitor arrivals vs outbound deficit                          |

[Data](#) [MOEA statistics](#) [DGBAS GDP tables](#)

## 4 INFLATION

|          |                                                                        |
|----------|------------------------------------------------------------------------|
| Headline | DGBAS CPI monthly; fruit/vegetable volatility; energy contribution     |
| Core     | Ex-fresh-food-and-energy; services momentum; rent index                |
| Tariffs  | Electricity rate review committee decisions; Taipower subsidy politics |
| Pipeline | WPI/import prices; TWD strength as a disinflation offset               |

**Data**      [DGBAS CPI](#)      [DGBAS release calendar](#)

## 5 CBC POLICY

|                  |                                                                |
|------------------|----------------------------------------------------------------|
| <b>Decisions</b> | Discount rate; RRR; quarterly meeting statements and Q&A       |
| <b>Forecasts</b> | CBC CPI/GDP forecasts; 2% comfort threshold breached           |
| <b>Tools</b>     | Seventh round credit controls; mortgage concentration guidance |
| <b>Pricing</b>   | TAIBOR/IRS pricing of hikes; NDF-implied policy path           |

[Data](#)      [CBC decisions](#)      [CBC homepage](#)

## 6 TWD / FX DYNAMICS

|                 |                                                                       |
|-----------------|-----------------------------------------------------------------------|
| <b>Pressure</b> | Exporter USD conversion waves; dividend season; surplus recycling gap |
| <b>Deposits</b> | FX deposit stock drawdown; RMB holdings reduction                     |
| <b>CBC</b>      | Intervention style (smoothing); US Treasury monitoring-list status    |
| <b>Reserves</b> | Monthly reserves; forward book disclosure; swap positions             |

**Data**      [CBC FX & reserves](#)      [US Treasury FX report](#)

## 7 LIFERS / CAPITAL FLOWS

|                   |                                                                     |
|-------------------|---------------------------------------------------------------------|
| <b>Books</b>      | Lifer foreign asset share (~65-70% of invested assets); duration    |
| <b>Hedging</b>    | CS/NDF hedge cost; hedge ratio disclosure; proxy hedging in KRW/JPY |
| <b>Regulation</b> | FX reserve mechanism; RBC/ICS transition; FSC forbearance           |
| <b>BoP</b>        | CBC quarterly BoP; financial account outflows vs CA surplus         |

| Data | <u>FSC insurance</u> | <u>CBC BoP</u> |
|------|----------------------|----------------|
|------|----------------------|----------------|

## 8 BANKING / CREDIT / HOUSING

|                  |                                                                |
|------------------|----------------------------------------------------------------|
| <b>Mortgages</b> | Bank real-estate lending ratios vs 30% cap; new mortgage rates |
| <b>Controls</b>  | LTV caps by property count; grace-period bans; pledge rules    |
| <b>Prices</b>    | Sinyi/Cathay indices; MOI registrations; presale activity      |
| <b>Credit</b>    | Loan growth ex-mortgage; SME guarantee schemes                 |

[Data](#)      [CBC financial stats](#)      [MOI housing](#)

## 9 FISCAL / PUBLIC SECTOR

|                   |                                                                          |
|-------------------|--------------------------------------------------------------------------|
| <b>Revenue</b>    | Tax take vs budget; corporate tax from semis; securities transaction tax |
| <b>Special</b>    | Defence special budget (% GDP path); subsidy packages                    |
| <b>Taipower</b>   | Accumulated losses; injection sizes; tariff vs subsidy choice            |
| <b>Allocation</b> | Revenue Allocation Act amendments; central fiscal squeeze                |

| Data | <u>MOF Taiwan</u> | <u>DGBAS budget</u> |
|------|-------------------|---------------------|
|------|-------------------|---------------------|

## 10 LABOUR / WAGES

|          |                                                            |
|----------|------------------------------------------------------------|
| Earnings | DGBAS regular earnings; bonus-heavy total earnings in tech |
| Jobs     | Unemployment rate; manufacturing vs services hiring split  |
| Shortage | Semis talent gap; migrant worker policy                    |
| Minimum  | Annual review outcomes; pass-through to services prices    |

Data [DGBAS labour](#)

## 11 CROSS-STRAIT / GEOPOLITICS

|                  |                                                                   |
|------------------|-------------------------------------------------------------------|
| <b>Military</b>  | ADIZ incursion counts; exercise cycles around political events    |
| <b>US policy</b> | BIS export-control updates; tariff carve-outs; CHIPS Act linkages |
| <b>Shoring</b>   | TSMC overseas capex share; supply-chain de-risking orders         |
| <b>Politics</b>  | LY balance; defence budget passage; cross-strait rhetoric         |

**Data**      MAC      US BIS

## 12 GLOBAL / ENERGY / WATER

|               |                                                              |
|---------------|--------------------------------------------------------------|
| <b>Energy</b> | LNG/coal import costs; reserve days; Taipower procurement    |
| <b>Power</b>  | Reserve margin; nuclear referendum politics; renewables ramp |
| <b>Water</b>  | Reservoir levels (south); science-park water trucking risk   |
| <b>Demand</b> | CIER manufacturing PMI; new export orders sub-index          |

**Data**      [Taipower](#)      [WRA reservoirs](#)      [CIER](#)